

Tesla, Inc.
TSLA NASDAQ

Hold	\$348.95 ▼ 3.83%	12M Price Target \$375.00	52-Week Range \$297.38 – \$498.83	Market Cap \$1.38T
------	------------------	------------------------------	--------------------------------------	-----------------------

TSLA: Cybertruck Price Hike Signals Demand Problem

WHAT HAPPENED

- Tesla just RAISED Cybertruck prices by \$5K even though sales are down 32% year-over-year — that's counterintuitive and the market read it as a red flag. Normally you cut prices when demand drops; hiking prices into weakness usually means they're trying to protect margins because they can't fix volumes. Stock's down ~3.8% on it.
- Options desks are loading up on near-term puts — the \$355/\$357.50/\$360 strikes are seeing 8-15x normal volume. That's institutions paying real money to bet the stock keeps sliding into month-end.

WHY IT MATTERS

The Cybertruck price hike is a tell — it says Tesla thinks they've squeezed all the demand they can from current pricing and would rather protect gross margin (profit per truck sold) than chase volume. That's a defensive move, not an offensive one, and it confirms what bears have been saying: the core EV business is maturing faster than the bulls want to admit. The real question isn't Cybertruck anymore — it's whether robotaxi and Optimus (the humanoid robot) can scale before the auto business flatlines. With the "Big Beautiful Bill" having killed the \$7,500 EV tax credit as of Sept 30, 2025, Tesla is now selling into a headwind their competitors also face — but Tesla loses the most in absolute dollars because they sell the most EVs.

POLICY & POLITICAL WATCH

Two policy threads matter most right now: (1) The federal EV tax credit is already dead, but states like California are debating replacement rebates — if those pass, it's a partial offset but nothing like the old \$7,500 credit. (2) The bigger deal is NHTSA's evolving framework for autonomous vehicles — the Trump administration has signaled a lighter federal touch on self-driving rules, which is a massive tailwind for Tesla's robotaxi ambitions in Austin and beyond. Musk's fractured-then-repaired relationship with the White House is worth watching; if he's back in favor, expect friendlier autonomy rules, if he's out, expect delays.

IS IT EXPENSIVE?

At \$1.38T market cap and roughly 160x forward earnings — meaning investors are paying \$160 for every \$1 of profit Tesla is expected to make next year — this is priced like a tech company, not a car company (Ford trades around 7x). The premium is entirely a bet on robotaxi and Optimus succeeding; strip those out and the stock is worth maybe half of where it trades. So the question isn't "is it expensive" (it obviously is) — it's "do you believe the AI story enough to pay up."

WHAT COULD GO WRONG

Langston's | Equity Research Coverage

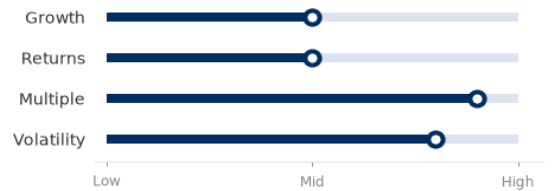
AI-Generated Pre-Market Brief | 2026-08-25 13:26 UTC

This report is prepared by Langston's using SEC EDGAR filings, market data (yfinance), and AI-generated analysis. It does not constitute investment advice. All figures are estimates. Past performance is not indicative of future results. Investors should conduct their own due diligence.

Key Data

Price (USD)	\$348.95
12M Price Target	\$375.00
Upside / (Downside)	+7.5%
Market Cap	\$1.38T
FY2026E Revenue	\$108M
FY2027E Revenue	\$128M
FY2026E EPS	\$2.15
FY2027E EPS	\$3.10
Fwd P/E	162.3x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$380.00	\$345.00	\$310.00
6 Months	\$450.00	\$360.00	\$275.00
1 Year	\$520.00	\$375.00	\$240.00
2 Years	\$650.00	\$420.00	\$200.00
5 Years	\$900.00	\$500.00	\$180.00
10 Years	\$1500.00	\$700.00	\$150.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Consumer Staples (+1.7%) and Financials (+1.3%) — classic defensive/rate-sensitive rotation, suggests the market is getting cautious on growth names heading into fall.

COOLING OFF: Consumer Discretionary is barely positive (+0.24%) despite being where TSLA lives — that's a tell that big-ticket consumer spending (cars, trucks, luxury goods) is softening.

ROTATION WATCH: Money is moving toward safety, not risk — that's a headwind for high-multiple names like Tesla. When staples outperform discretionary, retail demand for \$80K trucks is usually next to weaken.

RELATED PLAY: If you want AI/autonomy exposure without Tesla's baggage, look at the chip suppliers (NVDA for AI compute) or lidar/sensor plays that supply the broader autonomous stack — they win regardless of which robotaxi company wins.

WHO'S WINNING IN THIS SPACE?

- BYDDY (BYD): Eating Tesla's lunch in China and Europe with cheaper EVs and better hybrid options — they don't need US tax credits.
- GOOGL (Alphabet/Waymo): Waymo is already doing paid robotaxi rides at scale in multiple cities while Tesla is still in pilot mode in Austin.

TSLA CONTEXT: Tesla is lagging its "AI" narrative peers and its EV peers simultaneously right now — sitting at just 26% of its 52-week range tells you the momentum crowd has moved on. Until there's a robotaxi milestone or a delivery beat, it's a show-me stock.

WHAT I'D DO WITH THIS STOCK

5/10 Conviction Score

CONVICTION: 5/10 — Cautiously neutral. The AI optionality is real but the price already reflects a lot of hope, and near-term catalysts skew negative.

POSITION SIZE: 2-4% max. This isn't a "back up the truck" setup — it's a "own some in case Musk pulls a rabbit out of the hat" position.

ENTRY POINTS: I'd wait for \$300-\$320 (the low end of the 52-week range) before adding meaningfully. Chasing at \$349 with put flow this heavy is asking to catch a knife.

TIME HORIZON: 12-24 months, with the key catalyst being robotaxi expansion beyond Austin and any Optimus production announcement.

WHEN TO BAIL: If Q3 deliveries drop more than 15% YoY, or if there's a serious robotaxi safety incident, or if auto gross margin (ex-credits) breaks below 15% — any of those, cut it.

HEDGING: Simplest hedge is buying protective puts 3-6 months out at 10% below your entry — think of it as insurance you pay a small premium for. Or pair a TSLA long with a small BYD long to be neutral on "EV winner" and just bet on the category.